Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board
Steve Mollick -

Analysts
Akshay S. Jagdale - Director and Equity Research Analyst
Jeronimo Contreras Lerdo de Tejada - Former Research Analyst
Lillian Starke - Research Associate
Luca Cipiccia - Research Analyst
Pedro Leduc - Senior Analyst
Sergio Matsumoto -
Unknown Analyst -

Presentation

Operator
Good morning, everyone, and welcome to the Grupo Bimbo's Third Quarter 2014 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded, and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the conference over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Thank you very much, and good morning, everyone, and thank you for joining us.

I am here with several members of our finance and management team, and I will start with an overview of the key highlights in the quarter and then we will be happy to take any questions you may have at the end.

Overall, this was a fairly positive quarter for Grupo Bimbo. And while some of our operations faced a challenged environment, we can also point to the benefits of our geographic diversification.

Our recent Canada Bread acquisition, healthy sales growth in Latin America and Europe and greater profitability across all our operations drove our performance in the period. We also completed the acquisition of Supan in Ecuador this quarter and delivered strong cash flows.

With that said, let's look at the performance by region, starting in Mexico. To a certain extent, the continued pressure on volumes was expected with overall weaknesses in the consumption environment, particularly in categories affected by the tax and notably, due to pricing initiatives implemented last year. As a result, year-to-date volumes are down more than 5% and there is a consensus that private consumption in Mexico will remain sluggish through mid-2015.

However, there were some bright spots that keep of us cautiously optimistic about the months and quarters ahead, particularly in the bread and bun category. Volume growth in this category showed that our multipronged commercial efforts are working. Things like targeted promotions and marketing campaigns, better execution of the point-of-sale, new launches, innovations and reformulations that address consumer trends and changing basis. For example, products with stevia, a 100% natural sweetener. We also continued to introduce multiple presentation sizes to make our products more accessible for a range of budgets.

On the operating side in Mexico. We naturally benefited from lower average raw material costs as well as from our ongoing focus on cost reduction. Both of which helped compensate for the lower absorption of fixed expenses, mainly distribution. These helped generate 100% basis point improvement in the operating margin over the third quarter of last year.

Moving on to the U.S. and Canada. Sales rose more than 21% in peso terms, attributable to the Canada Bread acquisition, as organic sales in dollar terms fell about 1.7%, a figure that includes the impact of the California divestiture, which took place almost a year ago in the U.S.

The commercial bread category remains challenging in a still weak consumption environment, particularly the mainstream and private label segments. Our premium brands are not immune to these pressures. Of course, the volumes have been stable year-to-date.

For the quarter, introduction of new and innovative products, strong fuel execution and ongoing portfolio optimization helped drive growth for our breakfast and sweet baked goods categories, the latter of which has been -- have been performing quite well.

The slight 20 basis point expansion in operating margin reflects the benefits of ongoing efficiency initiatives and Canada Bread's lower SG&A structure, both of which helped offset a higher proportion of fixed cost during the period.

We continue to invest in our U.S. assets with efforts focused on product optimization and the closing of the Bay Shore, New York and the Harrisburg, Pennsylvania plants.

Since the acquisition of Sara Lee, we have executed significant transformational projects to drive productivity within our own supply chain and throughout distribution systems. We are finding additional opportunities to invest in restructuring our business to ensure we are a low-cost supplier. As we accelerate these opportunities, we will exceed our expected savings, which will provide a foundation for profitable future growth.

Regarding the Canada Bread integration, it is underway and on track. We completed the 100-day plan this quarter, identifying and sharing best practices, and we're now working to integrate systems and

processes. We're very pleased with the progress to date.

Moving on to Latin America. I am pleased to report stronger sales across the region, in both pesos and in local currencies. Performance reflects greater market penetration through key sales channels, product optimization and a more robust product portfolio. Furthermore, the region swung from an operating loss in the year ago period to a 2.7% operating margin this quarter. This comes on the back of lower average raw material costs and more efficient operations, most notably in Brazil, where the restructuring process remains on track and has delivered tangible results. In that market specifically, I can highlight the significant growth of sweet baked goods, breads, tortillas and buns, and our sales, of course, is laying the groundwork for strong seasonal campaigns.

Looking ahead at the region as a whole, we continue to drive efficiencies from our manufacturing processes and production footprint.

Lastly, in Europe. We are enthusiastic about our continued progress in this area. Performance is being driven by our efforts to transform the business with new products, packaging and innovations, expanding our penetration of the traditional channel and generating significant efficiency gains through modernizing the manufacturing base. This, combined with the benefit of our new U.K. business, help push sales up more than 37% in peso terms and reduce our operating losses by more than 45% in the period.

In terms of our balance sheet, the company's financial position at the end of the quarter reflected the increase in debt, following the Canada Bread acquisition, with a pro forma 3.0x total debt-to-EBITDA ratio compared to 2.3x at the beginning of this year.

While this current level is certainly manageable, we are also confident that our disciplined cash management and strong commitment to delevering will again follow the same trajectory it has taken in every previous major acquisition.

As you know, earlier last month, our shareholders approved a capital increase. While we ultimately determine that market conditions weren't right at that moment, we're fundamentally committed to strong balance sheet and financial flexibility given the revenues in our industry and the opportunity we foresee in the market. We'll continue to monitor market conditions and keep you updated on this.

Looking ahead beyond 2014, we're confident in our ability to drive profitable and continued growth across key segments of our business. The industry landscape have changed significantly over the past few years, and with much of that behind us, we expect to leverage and benefit from our recent acquisitions and ongoing innovation productivity initiatives to win in the marketplace.

We are excited about the future, about our having value for our customers and about strengthening our highly productive culture focused on simplicity and productivity.

At this point, I therefore conclude my remarks this morning, so we're ready for the question-and-answer session.

Question and Answer

Operator

[Operator Instructions] Our first question from Sergio Matsumoto of Citigroup.

Sergio Matsumoto
It's Sergio Matsumoto from Alex Robarts' team. My first question is on the commodity hedge. We see that the raw material cost was favorable in the quarter. And what we're wondering is if we can expect an EBITDA margin expansion also in the coming quarters, particularly in Mexico, where the margin expansion has been quite -- going quite well. That's my first question.

Guillermo Jorge Quiroz Abed
Yes. This is Guillermo Quiroz. We are -- as you know, within the 4 or 9 months period of '15, so we are -- as prices have come down, we are delayed because of that period of hedging. And also something that was not expected was the prices of basis, which basically are the practice of moving some great routes [ph] and the wheat -- sorry, wheat. I'll going on the very expensive basis because of these oil transformation in the U.S., which is -- it wouldn't be -- price of oil just too high. So basically, we are -- we can expect that these benefits from lower wheat prices are going to benefit us, but not as much as we would like to because of the increase on the basis costs.

Sergio Matsumoto
And another question is in Latin America. The EBITDA margin was the best in the last 4 years, and you mentioned the improvements in Brazil. Is this -- the 6% level, is at an EBITDA margin that we can expect going forward in this region? And could you also comment if you're gaining market share in Brazil?

Daniel Javier Servitje Montull
Well, Sergio, let me tell you that this is the report for the whole region, and we're seeing progress in all of the divisions that we have in Latin America. And also, it includes the integration of Ecuador. We're making progress in Brazil. We think that this is a multiyear effort, and in that sense, we're happy with what we're seeing. We hope that this strength can continue in the coming quarters. And the only caveat, I would say, is that Latin America is quite volatile as you all know and there are always exchange rate changes or things that happen in the countries. We're optimistic of what we're doing internally, and we'll monitor the progress in the coming quarters. But we're happy with what we're seeing.

Operator
Our next question is from Lillian Starke of Morgan Stanley.

Lillian Starke
My first question is at the beginning of the year, you were talking about a restructuring charge in the United States of around $100 million. It seems like we're quite a bit ahead of this number. I was just wondering if you could give us some color on what sort of the expectation for next quarter restructuring expenses. And how far -- I mean, how much can we expect for [indiscernible] accelerating this process by the end of this year, and thus, should we start to see margin improvement as soon as -- or early 2015?

Steve Mollick
Fred or Steve from BBU, could you take that question, please?

Alfred Penny
Yes, we're -- we are exceeding to your point on our restructuring expenses this year from what we saw earlier in the year. We've found additional opportunities to, in some cases, accelerate some restructuring

that would have occurred next year. In addition, towards the end of this quarter, I initiated an organization transformation that will change the design of most of the supply chain and further drive costs down for us as we move into 2015 and beyond. And so that's really the rationale for the higher restructuring this year. And I expect -- we expect that next year, our restructuring will be substantially lower as we move through 2015.

Lillian Starke
Okay. Perfect. And if I could follow up with a question regarding volumes in Mexico. How much would you say that this could be attributable to the taxes that you saw? And how much was more focused regarding softness in -- generally, in the economy? Is that something that you can provide some color on?

Daniel Javier Servitje Montull
Well, Lillian, I think that you -- you're asking a very tough question because at the end of the day, the consumer makes decisions on what they have on the wallet. And I would say that some of our categories are growing, some are suffering. I would say that this is also an effect of the what we're doing. And in some cases, I believe that we are -- we have been a bit slow on how we can react in some of the changes in the marketplace. And I hope that in the coming quarter or, at most, in the coming 2 quarters, we can have a more affordable portfolio in some of the categories that were hit harder on the U.S. tax. So that's what I can say. I hope also as we're starting to see in the economy that that's going to be a better year 2015 than what was 2014. So all in all, I expect a rebound of volumes here in Mexico, and we're focusing our efforts in recovering volume here.

Operator
Our next question is from Luca Cipiccia of Goldman Sachs.

Luca Cipiccia
Just a couple of follow-ups. First, on Mexico. Just to understand, what changed relative to the second quarter from a volume perspective. I remember at the time, there was a perception or indications and in fact, volumes were holding up quite well. So just curious to understand how that changed in the third quarter, what drove the sort of the deterioration, if you like? And secondly, when you say about reacting or adapting the portfolio, are you referring more to pricing, reformulation or packaging? And then specifically on pricing, how should we think about that looking into 2015 in the context of this volume mix? And then secondly, just a quick follow-up on LatAm. Given the returning profitability for the region or the better profitability, how should we think about the effective tax rate? Because if I remember correctly, some of the higher guidance was also related on the impact of that region was having. So maybe if you can comment on your guidance as well for tax rates going forward.

Daniel Javier Servitje Montull
Well, let me tell you on the first question that we have seen the softness throughout the year and not specifically -- we were not holding on the second quarter. We still experienced a drop in volume. And the third quarter, I would say that we expected -- I expected to have -- to see -- to start to see a rebound, and that did not materialize. So that's reality. And then what we're doing is it's going back to the drawing board and understanding what are the causes of some of these drops and finding more affordable portfolio of products in the different categories. We're offering basically a matrix of products at the different price points. So I would say that that's basically what we're aiming for and that's our efforts to recover volume. On a different front, we are formulating some of our products. We try to offer a more -- a formula that drove alongside with our health and wellness initiative. So that's basically what we're doing

here in Mexico. On the third question, I will pass it to Guillermo Quiroz.

Guillermo Jorge Quiroz Abed
As you can see in our numbers this year, we are experiencing a close to 37% tax rate. And for the -- this is a bit complex because when you analyze that, you have to take into consideration the different rates in different countries and also the exchange -- the tax rate and exchange rates. What we are being benefited by the reduction on losses in Brazil. So while we are using for our own projections is 38%.

Luca Cipiccia
38%. And just sorry, going back on Mexico. I don't know if you can show some thought on how you see pricing for next year?

Daniel Javier Servitje Montull
Well, I will say, all in all, I think as we're -- we're not expecting price increases. We -- as I just mentioned, we'll probably have to invest in offering the lower prices at some price points. What will happen in terms of margin and volume, it's some of the things that we're working on.

Operator
Our next question is from Philippe Ed Guzons [ph] of MUFG [ph].

Unknown Analyst
I just wanted to come back on the approved capital raising efforts. Two parts perhaps to that question. The first one is it still my understanding that proceeds would be used to improve the balance sheet as you alluded to earlier? And secondly, can you give perhaps or give a bit of color in terms of when you talk about you would be looking at improving market conditions. What would be kind of a trigger for you to go forward in terms of the equity performance?

Guillermo Jorge Quiroz Abed
Well, we -- as you know, the authorization for the capital increases open until December 19. Basically, I would try to communicate to the market when launch is that as we are always open to new opportunities on the market as we have been very active in acquisitions. What we really wanted to do is to reduce our debt in order to gain flexibility to be able to take advantage of any opportunities that would come or might come in the future. So it's something we have to see very much, which is flexibility. Either to confront certain negative issues from the market only to take advantage of new opportunities that can come here or later. Now the last question is really a hard one. We would like to see a reduction on volatility and, as you know, it has been very high. So unfortunately, we don't need really those funds in the short term. So if in the few weeks after we still have left for the end of the year, we understand or we believe that the condition of the market are more favorable and stable, then we would proceed during the time we have the authorization.

Unknown Analyst
And then that's very helpful. And maybe just as a follow-up. In case market conditions were not to be optimal for you, I would assume that you would have to go back to get a new approval if you were to look at, perhaps, coming into the market next year. Is that the correct understanding?

Guillermo Jorge Quiroz Abed
Yes, it's definitely correct.

Operator
Our next question is from Pedro Leduc of JP Morgan.

Pedro Leduc
It will be regarding the competitive environment in the United States, starting with that, and then moving into Mexico. In the U.S., there's some mention in the press release but we're wondering how things are faring, especially on the modern channel there. And in Mexico, in specific, if some of this sales increase -- decrease, you already mentioned lower volumes but how competition is reacting, especially from the Fresh Bakeries?

Alfred Penny
Daniel, I'll be happy to take that first part relative to the U.S. In our business, Pedro, in Q3, improved. Although as you see in the financial results, our top line was still below a year ago, but we're seeing some improvement and some stability. In particular, our breakfast and sweet goods businesses had a very strong quarter and continue to have positive momentum. I think it's important to note that overall, our businesses -- all of our categories are still ahead of where they were at the end of 2012 pre the Hostess liquidation. So that was obviously a major event in this industry. And when those brands came back in, it would be natural to expect that volume has to be sourced from the remaining players in the industry. We've also seen some modest improvement in bread pricing realization, and we're focused, going forward, on improving our forward promotional efficiency as well. I hope that answers your question.

Pedro Leduc
Yes, thank you. And in respect to...

Daniel Javier Servitje Montull
Yes. On the Mexican side, the volume shortfall was mostly in the traditional channel, not on the modern channel. So I think that's basically where our consumers with the least disposable income are buying and that's where the tightness of the market is happening in our case. I don't know if that's...

Pedro Leduc
Yes, it makes sense and we can hear that similar color. You've seen this -- How can you be helping these more at the traditional channel? Are you offering them lower price presentations or discounts?

Daniel Javier Servitje Montull
Exactly. That's the -- That's what we're talking about before. The shortfall is happening there at the mom & pops channel, and we're revisiting our portfolio and our price [indiscernible] to allow these consumers to have a more affordable way of finding our products given the increases. Although we have done that during this year, this has not been as effective as we have planned and that's why we're looking at this again.

Operator
Our next question is from Jeronimo Contreras of GBM.

Jeronimo Contreras Lerdo de Tejada

My question is regarding your CapEx for 2015. Could you tell us what portion of it should be directed for the restructure expenses for BBU? And the second question is could you give us some guidance on -- more color on BBU's EBITDA margin for next year?

Daniel Javier Servitje Montull
We're in the process of giving our 2015 budget. So I'm not able to answer that in a precise way. But basically, this transformation that Fred was talking about is regarding our plants and the distribution network. So I would expect us always that the growth of the [indiscernible] are going to be the plants and vehicles bought. I just could not answer -- nowadays, the amount is indefinite because this includes the U.S. transformation. I don't have the number.

Jeronimo Contreras Lerdo de Tejada
Okay. And regarding the EBITDA margin for BBU? You have some guidance for it?

Daniel Javier Servitje Montull
Fred, can you please take that? And I understand that margins -- that we're expecting to see if there's margin this year because of the reduction of the transformation and the division expenses was...

Alfred Penny
2015.

Daniel Javier Servitje Montull
Yes, 2015. But I don't know if you have kind of some color, not necessarily a number on that but some color on the outlook.

Alfred Penny
I wouldn't want to provide a specific number. Our EBITDA margin will improve next year. As I mentioned earlier, we expect substantial reduction in restructuring charges and continued improvement in our business.

Operator
[Operator Instructions] and our next question is from Akshay Jagdale of KeyBanc.

Akshay S. Jagdale
My question's on the U.S. Can you provide a little bit of color on the competitive environment? Just -- it seems like the industry always gets into this situation where promotions increase and then the industry finds out it's been affected. Now we -- we're adjusting again. The expectation was that with consolidation happening, that we should see less of this ineffective sort of promotional activity. So can you give us a sense as to what led to tightened competition maybe? And then sort of what you're doing specifically to increase promotional efficiency.

Alfred Penny
I'll be glad to take that one, Daniel. Well, at first, I'd say the mainstream bread and private label segment, particularly sliced bread and buns and rolls, is essentially a flat category and it has been for a number of years. And so -- and that the industry benefited from the Hostess liquidation in 2013. But as those brands have come back in, as I mentioned earlier, that consumption has to come from somewhere. And those brands coming back in certainly triggered a response from everyone who is competing, try to retain as

much of their businesses as they could. And so I think that was another event that you might argue caused some heightened promotional activity. I do think there is some stability come into the market. I would hope that, that continues. From our standpoint, we have a fairly complex portfolio in these brands and businesses that have been rolled up through historic acquisitions here. We've been through 2 in the last 5 years. And we're focused on optimizing our portfolio. And as we do that work, also optimizing our promotional spend behind all those various categories and brands. And so that's an opportunity for us but that's going to take some time. It's a very complex portfolio, but we're focused on it from here on in.

Akshay S. Jagdale
And just a follow-up on that. So as people from the outside watching the industry, it's my intention that if we just track private label bread prices and they start to inch up that would be a good sign of rational pricing in the industry. Is that a good way to think about it? I mean, it seems like that's always been the issue in terms of the category being too competitive. It's the margins on the private label seem to below where they should be.

Alfred Penny
I guess that I'd rather not speculate on how it might improve. I'd leave it to say that we're focused on what we can control here and we want to maximize the efficiency of every dollar on promotion that we spend, while we're giving consumers the value that they're searching for. So that's really what we're focused on in BBU.

Operator
This concludes our question-and-answer session. I'd like to turn the conference back over to Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Thank you very much, and thank you, all, for your time today. And as always, please do not hesitate to contact us with any further comments or questions you might have. And we look forward to speaking with you in the next quarter.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect.

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